

HR Analytics Report

Strategic Workforce Analysis

| Insights

1. Data Quality Finding

- **Observation:** 1061 employee records contained termination dates set in the future (as far out as 2039), which is logically impossible.
- **Interpretation:** This likely reflects a system default error where incomplete termination records were auto-populated with a placeholder future date rather than left blank.
- **Recommendation:** Reclassify these 1061 records as active employees and flag the source HR system for a data-validation rule that prevents future-dated terminations from being entered.

2. Workforce Composition

- **Observation:** The organization employs **22,214** people, of which **19,346 (87.09%)** are active employees. The overall attrition rate stands at **12.91%**, indicating approximately **2,868** employees have left the organization.
- **Interpretation:** The company maintains a relatively stable workforce with nearly nine out of every ten employees remaining active. While the overall attrition rate is within a manageable range, it still represents a significant talent outflow that should be continuously monitored.
- **Recommendation:** Implement quarterly attrition monitoring by department and tenure group to proactively identify high-risk employee segments and improve workforce retention strategies.

3. Departmental Concentration

- **Observation:** Engineering is the largest department with **6,686 employees (30.1%)**, followed by Accounting (**3,333**), Sales (**1,832**), Human Resources (**1,807**), and Training (**1,692**). Auditing has the smallest workforce with only **52 employees**.
- **Interpretation:** The workforce is heavily concentrated in Engineering, reflecting a technology-driven organization where product development is the primary business focus. Extremely small departments such as Auditing and Legal may face workload concentration and succession risks.
- **Recommendation:** Benchmark support functions such as Legal and Auditing against industry staffing standards to ensure governance, compliance, and internal control capabilities scale alongside organizational growth.

4. Attrition by Department

- **Observation:** Engineering recorded the highest number of employee exits with **876 terminations**, followed by Accounting (**424**), Sales (**242**), Human Resources (**234**), and Training (**228**).
- **Interpretation:** Although Engineering contributes the largest number of departures, it also has the largest employee base. Therefore, the absolute count alone should not be interpreted as a retention issue without comparing department-level attrition rates.

- **Recommendation:** Calculate attrition percentages for each department rather than relying solely on termination counts. Departments with disproportionately high attrition rates should be prioritized for retention initiatives.

5. Employee Tenure Analysis

- **Observation:** Active employees have an average tenure of approximately **15 years**, while terminated employees averaged roughly **8 years** before leaving the organization.
- **Interpretation:** Employees who remain with the company tend to build long-term careers, whereas most departures occur relatively early in the employee lifecycle. This suggests retention challenges are concentrated during the mid-career stage rather than among long-tenured employees.
- **Recommendation:** Conduct retention analysis for employees between **5–10 years of service** to identify potential career progression, compensation, or engagement issues contributing to employee turnover.

6. Workforce Diversity

- **Observation:** White employees represent the largest racial group with approximately **6.3K employees (28.4%)**, followed by Two or More Races (**3.6K**), Black or African American (**3.6K**), Asian (**3.6K**), Hispanic or Latino (**2.5K**), American Indian or Alaska Native (**1.3K**), and Native Hawaiian or Other Pacific Islander (**1.2K**).
- **Interpretation:** No single racial group forms an absolute majority of the workforce, indicating a well-diversified employee population across multiple demographic groups.
- **Recommendation:** Extend diversity analysis to managerial and leadership positions to ensure representation remains balanced across all organizational levels rather than only at the overall workforce level.

7. Gender Distribution Across Departments

- **Observation:** The overall workforce consists of **50.81% male (11,288 employees)**, **46.46% female (10,321 employees)**, and **2.72% non-conforming employees (605)**. Engineering has the largest gender gap with **3,373 males** compared to **3,120 females**, while Auditing remains predominantly male due to its very small workforce.
- **Interpretation:** Overall gender representation is relatively balanced across the organization. However, Engineering exhibits the most noticeable gender imbalance among large departments because of its significantly larger workforce.
- **Recommendation:** Strengthen diversity hiring initiatives for technical roles while maintaining balanced recruitment practices across other departments to improve long-term workforce representation.

8. Geographic & Remote Workforce Distribution

- **Observation:** **24.75% (approximately 5.5K)** of employees work remotely, while **75.25% (approximately 16.7K)** are based at headquarters. Ohio alone accounts for approximately **18K employees**, with **Cleveland contributing 16,871 employees**, making it the organization's largest employment hub.
- **Interpretation:** The organization remains highly centralized geographically despite supporting a sizeable remote workforce. Heavy dependence on a single state increases operational concentration risk.
- **Recommendation:** Expand remote hiring and geographically diversify future recruitment efforts to reduce dependence on a single location while improving access to broader talent pools.